

Executive Summary:

- The first week of August 2026 highlights intensifying macroeconomic friction balanced by blockbuster sector consolidation. A massive litigation campaign mounted by 25 US states against recently implemented tariffs introduces profound corporate cost uncertainties and systemic inflation risks.
- Geopolitical flashpoints temporarily eased after the suspension of retaliatory military strikes against Iran, cooling raw crude prices.
- In corporate activity, healthcare is bracing for a potential paradigm shift with a historic, mega-cap merger proposal from AstraZeneca.
- Concurrently, high-velocity real estate and automotive recapitalizations indicate that corporations are aggressively repositioning capital structures to adapt to localized currency dynamics and industrial production expansions.

Markets:

- Equities : SNP continued to climb up this week with a 3% hike. The FTSE still remained green but movement was minimal
- US 10 year dropped to 4.66%
- Commodities: Oil fluctuated during the week but landed on the price is started with at \$83 a barrel. Gold increased 5%.

Macro Activity:

- A coalition of 25 US states has filed formal lawsuits against the Trump administration over the sweeping tariffs enacted in July. The litigation contends that the levies are arbitrary, non-compliant with statutory limits, and legally invalid.
 - The Downside Case: If federal courts uphold the tariffs, industrial supply chains face escalating cost pressures, further accelerating domestic inflation.
 - The Upside Case: A judicial injunction blocking the tariffs would allow impacted multi-national corporations to seek retroactive refunds, immediately boosting near-term cash flows.
- UK manufacturing output surged for the fourth consecutive month, printing its fastest acceleration curve in nearly two years. The expansion is heavily backstopped by a major influx of cross-border purchase orders originating from North America, the European Union, China, and India. Despite robust order books, localized manufacturing employment gains remained marginal as corporate staffing metrics trended toward near-stagnation.
- Government contracts in the UK will be awarded to those that can lay out their plans for job creation and economic growth, abandoning the net-zero requirements that have been in place.

Sector Updates:

- AstraZeneca is finalizing structural plans for a monumental \$400 billion acquisition of Bristol Myers Squibb. If finalized, the transaction would stand as one of the largest corporate mergers in pharmaceutical history. The deal faces rigorous antitrust

scrutiny from international regulatory bodies due to deep overlapping asset positions across both firms' core oncology portfolios.

- Industrial real estate powerhouse Segro has formally accepted a \$14 billion takeover offer from Prologis. This transaction accelerates consolidation within the premium logistics and warehousing sector, underscoring sustained institutional demand for institutional-grade industrial infrastructure.
- Capitalizing on systemic headwinds facing local currency markets, Toyota announced a targeted \$6.3 billion share buyback program. The strategy leverages a heavily weakened Japanese Yen to retire equity volume and systematically optimize its earnings-per-share (EPS) profile, triggering immediate upward pressure on its public share price.
- BP have left the North Sea, following suit of their major competitors who have all departed from assets there. The North Sea has been in a decline in resources since the early 2000s when it was producing closing to 5m barrels per day. Today, it produces roughly 1m a day, in which BP only have 117,000 barrels per day. This, partnered with the windfall tax on oil and gas companies profits from the North Sea have made BPs exit inevitable. This causes a problem for Burnham as he had plans to tackle the cost of energy crisis in the UK by drilling more into the North Sea. Now that all big corporations have abandoned the basin, it leaves smaller corporations with less capabilities to match the newly appointed PMs ambition.
- Palantir UK paid just over 2m on tax from 25m pre-tax profits in 2024 using tax loopholes, such as share-based compensation, profit shifting and transfer pricing, despite the firm holding over 670m in UK public sector contracts and the corporate tax rate for this level of profit being at 25%.

3rd August 2026

SNP 7489

FTSE 10856

US 10y 4.74%

Oil 83

Gold 4104

Top Stories:

- Trump called off strikes on Iran at the request of the Middle Eastern countries. Oil prices fell as a result.

4th August 2026

SNP 7489

FTSE 10886

US 4.74

Oil 86

Gold 4106

- Trump administration is being sued by 25 US states for the tariffs imposed in July as they say these were, arbitrary and contrary to law, and an act on US businesses and

families. If these the courts block the tariffs then companies impacted could seek refunds but if they don't get blocked then costs could rise and trade tensions may escalate, putting more pressure on inflation

- AstraZeneca are planning to buy Bristol Myers Squibb in a deal that could reach \$400bn, but face regulatory hurdles and overlap in companies oncology portfolios
- Segro accepts 14bn takeover from Prologis
- Toyota plan to exploit a weaker yen with a \$6.3bn share buyback, increasing share price
- UK manufacturing output has increased for the fourth consecutive month and at the fastest pace in almost two years, with increased orders from North America, EU, China and India. Employment rose marginally, with staffing easing to near stagnation despite increase workloads. The shows modest recovery to UK manufacturing which supports near-term GDP growth prospects

5th August 2026

SNP 7736

FTSE 10897

US 10y 4.63%

Oil 80

Gold 4224

Top Stories:

- Trump threatens Iran to allow ships to resume shipments by the end of this week otherwise strikes will continue. Current negotiations are underway between Iran and US with Oman acting as mediators
- Paramount CEO came out to defend the deal to buy Warner Bros as AGs file suits to prevent the deal from happening following antitrust breaches. The CEO claims the deal wouldn't wield excessive market power and that the companies' combined will only have around 20% or less of US television watch time. The US DoJ and EU have approved the deal but domestic litigations put the deal on hold until 2027
- PIF bought EA Sports for \$55bn, 64% equity with the remaining being debt financed by JPMorgan, making it a low leveraged buyout.
- Palantir paid £2.1m in UK corporation tax in 2024 despite declaring £25m in profit and hold a large amount of government contracts. Palantir have been shifting revenue and profits to their US parent via transfer pricing and use share-based compensation and carried forward tax attributes to lower tax bills. A major supplier to UK services paying such a low level of tax relative to profits leaves questions about current rules allocate taxable income appropriately
 - o Transfer Pricing: US-Parents charges UK subsidiary a fee for using their technology and brand
 - o Shared-based compensation: Company using employee bonuses as a way to create an on-paper expense. Despite the UK subsidiary not paying any cash themselves, they are allowed to recognise the expense in their financials
 - o Carried forward tax: net loss in your first years that sit on your balance sheet – current profits = actual taxable income which will be smaller
- Pressure is being put on Burnham to apply a windfall tax to the top banks in the UK following a surge in profits in the first half of the year due to market volatility which

was driven by high interest and global crisis rather than genuine innovation or growth. Analysts estimate the levy could raise £19 to £60 billion for the government, which can be used to fund cost of living crisis. CEO's of banks claim this would be unfair and make the UK unattractive for investment if profits get raided whenever banks do well

8th August 2026

SNP 7757

FTSE 10901

US 4.66%

Oil \$83

Gold 4340

Top Stories:

- US economy CPI came in for July with 23,000 jobs lost from July, easing pressure on the Fed to take a rate hike in September. Unemployment rate held steady at 4.1%, as private payrolls rose by 30,000 whilst government education and retail both slipped. Next weeks CPI data will be decisive: if inflation remains hot, the Fed may still tighten despite the cooler payrolls
- Oman said positive talks with Iran are underway on agreement to secure a shipping route through Hormuz
- Colombia got a new president and the US gave his party \$1bn for security. The newly elected president is a Trump supporter who plans to crack down on cartels and deepen ties with US and Israel
- OpenAI Astra agent has been paused as the AI manage to develop the ability to cause cyberattacks without any human interventions. This highlights the growing concerns about AI capabilities and calls for tighter regulation and security standards.